

Director of the Agency for the Protection of Personal Data and member of the European Data Protection Board Zdravko Vukić participated in the meeting of the European Data Protection Board held on February 13, 2024, in Brussels. At the meeting, the European Data Protection Board adopted an opinion on the concept of the main establishment and the criteria for the application of the "One-Stop-Shop" mechanism following a request from the French data protection authority under Article 64(2) of the General Data Protection Regulation. The opinion clarifies the concept of "main establishment" of the data controller in the European Union, particularly in cases where decisions regarding processing are made outside the European Union.

The Chair of the European Data Protection Board, Anu Talus, stated: "The concept of main establishment is one of the foundations of the 'One-Stop-Shop'. It is crucial to determine which data protection authority is the lead supervisory authority in cross-border data protection cases. The opinion of the European Data Protection Board further clarifies the conditions for data controllers to access the 'One-Stop-Shop' system and provides additional guidance to data protection authorities in determining which data protection authority is the lead."

The European Data Protection Board in its opinion considers that the "place of central administration" of the data controller in the European Union can be regarded as the main establishment in accordance with Article 4(16)(a) of the General Data Protection Regulation only if it makes decisions regarding the purposes and means of processing personal data and has the authority to implement such decisions. The European Data Protection Board further explains that the "One-Stop-Shop" mechanism can only be applied if there is evidence that one of the establishments of the data controller in the Union makes decisions regarding the purposes and means for the relevant processing activities and has the authority to implement those decisions. This means that when decisions regarding the purposes and means of processing are made outside the European Union, the data controller should not have its main establishment in the EU, and therefore the "One-Stop-Shop" should not apply.

This opinion is the latest in a series of concrete measures taken by the European Data Protection Board following its Vienna Statement on cross-border enforcement, aimed at simplifying enforcement and cooperation among data protection authorities.

Furthermore, the European Data Protection Board issued a statement on the development of legislation concerning the Proposal for a Regulation establishing rules for the prevention and combating of child sexual abuse. The statement is in line with the Joint Opinion of the European Data Protection Board and the European Data Protection Supervisor on the European Commission's Proposal for a Regulation and is focused on the latest legislative developments, particularly the position of the European Parliament from November 2023.

The European Data Protection Board welcomes numerous improvements proposed by the Parliament, such as the exemption of end-to-end encrypted communications from disclosure orders. However, the European Data Protection Board regrets that the text proposed by the Parliament appears not to fully address important issues raised by the European Data Protection Board and the European Data Protection Supervisor regarding general and indiscriminate monitoring of private communications, particularly concerning the issuance of disclosure orders.

The Chair of the European Data Protection Board, Anu Talus, stated: "Child sexual abuse is an especially heinous crime and requires effective solutions. It is important that every new legal instrument is unambiguous and respects fundamental rights to privacy and data protection. An excessive level of access to online communications would undermine these important principles and could negatively affect the rights and safety of adults and children; we must be very careful about actions that ultimately do more harm than good. The European Data Protection Board believes that the text proposed by the Parliament should provide adequate guarantees that disclosure orders will be sufficiently targeted to ensure that they can protect victims without disproportionate impact on the rights and freedoms protected by EU law."

The European Data Protection Board emphasizes the importance of further limiting the risk that such orders could affect individuals who are unlikely to be involved in crimes related to child sexual abuse.

During the plenary session, the European Data Protection Board also discussed the scope of guidelines related to the "pay or ok" model. In addition to the forthcoming opinion under Article 64(2), which will address the "pay or ok" model in the context of large online platforms, it was agreed that there is a need to develop guidelines with a broader scope of application.

Finally, the European Data Protection Board appointed several representatives to participate in the European Commission's team reviewing the data protection framework, a high-level subgroup on the Digital Markets Act for Article 5(2) of the Digital Markets Act, and a working group for age verification from the Digital Services Act.